8. TAXES ON INCOME:

Provisions for federal and state income taxes consist of the following:

| Year ended June 30, | 2001 | 2002 | 2003 |
|---|---|---|---|
| Current: | | | |
| Federal | $364 | $ 2,149 | $ 3,953 |
| State | 89 | 738 | 1,085 |
| | 453 | 2,887 | 5,038 |
| Deferred: | | | |
| Federal | 324 | 23 | (356) |
| State | 66 | (10) | (80) |
| | 390 | 13 | (436) |
| Total provision | $843 | $2,900 | $4,602 |

Differences between the federal statutory rate and the Company's effective tax rate are as follows:

| Year ended June 30, | 2001 | 2002 | 2003 |
|---|---|---|---|
| Statutory rate | 34.0% | 34.0% | 35.0% |
| State taxes - net of federal taxes | 5.1 | 5.1 | 6.7 |
| Permanent differences | 4.2 | 0.3 | 0.1 |
| Other | (1.2) | -- | -- |
| | 42.1 % | 39.4% | 41.8% |

Deferred income tax assets (current and noncurrent)resulting from temporary differences are as follows:

| June 30, | 2002 | 2003 |
|---|---|---|
| Accounts receivable allowances | $1,004 | $836 |
| Vacation expense accrual | 100 | 138 |
| Officer/stockholder bonus accrual | 326 | 973 |
| Deferred revenue | 102 | 118 |
| Other | 10 | - |
| | $1,542 | $2,065 |

Deferred income tax liabilities of $2,154 and $2,245 at June 30, 2002 and 2003, respectively, resulted from temporary differences between depreciation and amortization of property and equipment.